Witness Statement of Julian Ashworth-Hale

Witness Statement | Document ID: **RES-WIT-001**

Date:	28 November 2025
Witness:	Julian Ashworth-Hale, First Respondent; former CEO of Hale Specialty Distribution Ltd
On behalf of:	Respondents

IN THE MATTER OF AN ARBITRATION UNDER THE LCIA RULES

LCIA Reference No. 235841

WITNESS STATEMENT OF JULIAN ASHWORTH-HALE

I, Julian Ashworth-Hale, of Warrington, Cheshire, WILL SAY as follows:

1. I make this statement in support of my and my wife Rosalind's case in this arbitration. The facts in this statement are within my own knowledge unless I say otherwise.

2. I was the founder, majority shareholder (62%) and Chief Executive Officer of Hale Specialty Distribution Ltd ("the Target") from 2009 until Completion of its sale to the Claimant on 2 May 2024.

3. **The Northbridge notice.** I was aware, from around 19 April 2024, that Northbridge Coatings Ltd had indicated it might not renew its contract. This is a difficult and, frankly, not unusual position to be in during the final weeks before completing a sale of a business: customer relationships evolve, and it is common for large accounts to review supply arrangements periodically. I did not consider, and still do not consider, that a single account under review amounted to a matter which needed to be dealt with by way of a formal update to the Disclosure Letter, not least because paragraph 3.2 of the Disclosure Letter already addressed the general position on key account renewals in terms which I understood, on my solicitors' advice at the time, to cover this kind of development.

4. **The 25 April 2024 call.** I spoke to Elliott Vance by telephone on 25 April 2024. I do recall mentioning, in the course of that call, that we had a couple of customer renewal conversations live at the time, including with a larger account, and that these things can go either way. I did not read out the Northbridge letter to him or use the word "Northbridge" specifically that I can now recall, but my understanding at the time was that I had flagged the general position to Meridian's deal team. I accept, on reflection, that with hindsight I could have been more explicit and named Northbridge specifically, but I do not accept that anything was concealed.

5. **The "close to chest" email (CLM-EMAIL-001).** I saw this email from Rosalind at the time. I understood "keep this close to chest" to mean that we should not alarm the wider sales team or, worse, Northbridge itself, by treating the position as more final than it was while there was still a prospect of retaining some of the business, not that we intended to withhold anything material from Meridian. I accept that, read in isolation and with hindsight, the email does not put that intention very well.

6. **Ashworth Specialty Solutions Ltd.** I incorporated Ashworth Specialty Solutions Ltd in January 2026 to provide part-time independent consultancy advice in the specialty chemicals sector, drawing on my 25 years' experience. I do not consider that this amounts to competing with the "Restricted Business" as defined in the SPA, which is defined as the business of distributing specialty coating and industrial chemicals to third-party customers. My company does not hold stock, operate a distribution fleet, or employ sales staff; it is, in substance, an advisory practice. The reference in my email to Ms Chin of Brenner Coatings Ltd to "sourcing and supplying" certain product lines reflected a possible future service offering under discussion at the time, not an activity that had (or has) actually been carried out. I am not aware that Brenner Coatings Ltd has in fact reduced or ended its business with the Target, and no such transaction has taken place through my company.

7. **The Earn-Out.** I do not accept that the group overhead allocation applied by Meridian reflects the Target's historic accounting policies. The Target never bore central group overhead charges of this kind before Completion, for the simple reason that it was not part of a group. In my view, Clause 6.4(b) was included precisely to prevent the Buyer from reducing Actual EBITDA by imposing new categories of cost on the Target after Completion, and that is what has happened here.

8. I confirm that the contents of this statement are true to the best of my knowledge and belief.

Statement of Truth: I believe that the facts stated in this witness statement are true.

Signed: *J. Ashworth-Hale* Dated: 28 November 2025